CHAPTER H-02

HEALTH INSURANCE DOCUMENTATION

Chapter Introduction

In the insurance industry, we deal with a large number of forms, documents etc. This chapter takes us through the documents and their importance in a health insurance contract.

Learning Outcomes

A. Proposal forms

B. Acceptance of the proposal (underwriting)

C. Prospectus

D. Policy Document

E. Conditions and Warranties

After studying this chapter, you should be able to:

a) Explain the contents of proposal form.
b) Describe the importance of Prospectus
c) Explain terms and wordings in insurance policy document.
d) Discuss policy conditions and warranties.
e) Appreciate why endorsements are issued.
f) Understand the premium receipt.
g) Appreciate why renewal notices are issued.

A. Proposal forms

1. Health Insurance Proposal forms

As discussed in the common chapters, the Proposal Form contains information which is useful for the insurance company to accept the risk offered for insurance. Given below are some of the details of the proposal form for a health insurance policy:

1. The proposal form incorporates a prospectus which gives details of the cover, such as coverage, exclusions, provisions etc. The prospectus forms part of the proposal form and the proposer has to sign it as having noted its contents.
2. The proposal form collects information relating to the name, address, occupation, date of birth, sex, and relationship of each insured person with the proposer, average monthly income and income tax PAN No., name and address of the Medical Practitioner, his qualifications and registration number. Bank details of the insured are also now a days collected to make payment of claim money directly through bank transfer.
3. In addition, there are questions relating to the medical condition of the insured person. These detailed questions in the form are based on past claims experience and are to achieve proper underwriting of the risk.
4. The insured person is required to state full details if he has suffered from any of the specified diseases in the form.
5. Further, the details of any other illness or disease suffered or accident sustained are called for as follows:
   a. Nature of illness/ injury and treatment
   b. Date of first treatment
   c. Name and address of attending Doctor
   d. Whether fully recovered
6. The proposer as to state any additional facts which should be disclosed to insurers and if he has any knowledge of any positive existence or presence of any illness or injury which may require medical attention.
7. The form also includes questions relating to past insurance and claims history and additional present insurance with any other insurer.
8. The special features of the declaration to be signed by the proposer must be noted.
9. The insured person agrees and authorises the insurer to seek medical information from any hospital/ medical practitioner who has at any time attended or may attend concerning any illness which affects his physical or mental health.
10. The insured person confirms that he has read the prospectus forming part of the form and is willing to accept the terms and conditions.
11. The declaration includes the usual warranty regarding the truth of the statements and the proposal form as the basis of the contract.

2. Medical Questionnaire

In case of adverse medical history in the proposal form, the insured person has to complete a detailed questionnaire relating to diseases such as Diabetes, Hypertension, Chest pain or Coronary Insufficiency or Myocardial Infarction.

These have to be supported by a form completed by a consulting physician. This form is scrutinised by company's panel doctor, based on whose opinion, acceptance, exclusion, etc. are decided.

Standard form of Declaration

The IRDAI has specified the format of the standard declaration in the health insurance proposal as under:

1. I/ We hereby declare, on my behalf and on behalf of all persons proposed to be insured, that the above statements, answers and/ or particulars given by me are true and complete in all respects to the best of my knowledge and that I/ We am/ are authorized to propose on behalf of these other persons.
2. I understand that the information provided by me will form the basis of the insurance policy, is subject to the Board approved underwriting policy of the insurance company and that the policy will come into force only after full receipt of the premium chargeable.
3. I/ We further declare that I/ we will notify in writing any change occurring in the occupation or general health of the life to be insured/ proposer after the proposal has been submitted but before communication of the risk acceptance by the company.
4. I/ We declare and consent to the company seeking medical information from any doctor or from a hospital who at any time has attended on the life to be insured/ proposer or from any past or present employer concerning anything which affects the physical or mental health of the life to be assured/ proposer and seeking information from any insurance company to which an application for insurance on the life to be assured/ proposer has been made for the purpose of underwriting the proposal and/ or claim settlement.
5. I/ We authorize the company to share information pertaining to my proposal including the medical records for the sole purpose of proposal underwriting and/ or claims settlement and with any Governmental and/ or Regulatory Authority.

3. Nature of questions in a proposal form

The number and nature of questions in a proposal form vary according to the type of insurance concerned. Sum insured indicates the limit of liability of the insurer under the policy and has to be indicated in all proposal forms.

In **personal lines** like health, personal accident and travel insurance, proposal forms are designed to get information about the proposer's health, way of life and habits, pre-existing health conditions, medical history, hereditary traits, past health-insurance experience etc. along with the proposer's profession, occupation or business which important as they could have a material bearing on the risk.

Example 1

- ✓ A delivery man of a fast-food restaurant, who has to frequently travel on motor bikes at a high speed to deliver food to his customers, may be more exposed to accidents than the accountant of the same restaurant.
- ✓ A person working in a coal mine or a cement plant may be exposed to dust particles leading to lung ailments.

Example 2

- ✓ For the purpose of overseas travel insurance, the proposer is required to state (who is travelling, when, to which country, for what purpose) or

  For the purpose of health insurance, the proposer is asked about his/ her health (with person's name, address and identification) etc. depending on the case.

Example 3

- ✓ In case of health insurance, it could be the cost of hospital treatment, while for personal accident insurance this could be a fixed amount for loss of life, loss of a limb, or loss of sight due to an accident.

a) Previous and Present insurance

The proposer is required to inform the details about his previous insurances to the insurer. This is to understand his insurance history. In some markets there are systems by which insurers confidentially share data about the insured.

The proposer is also required to state whether any insurer had declined his proposal, imposed special conditions, required an increased premium at renewal or refused to renew or cancelled the policy. Details of current insurance with any other insurer including the names of the insurers are also required to be disclosed. Further, in personal accident insurance an insurer would like to restrict the amount of coverage (sum insured) depending on the sum insured under other PA policies taken by the same insured.

b) Claim Experience

The proposer is asked to declare full details of all losses suffered by him/ her, whether or not they were insured. This will give the insurer information about the subject matter of insurance and how the insured has managed the risk in the past. It means the insurance company has a duty to record all the information received even orally, which the agent has to keep in mind by way of follow up.

B. Acceptance of the proposal (underwriting)

A completed proposal form broadly gives the following information:

- ✓ Details of the insured
- ✓ Details of the subject matter
- ✓ Type of cover required
- ✓ Details of the physical features both positive and negative
- ✓ Previous history of insurance and claim experience

In the case of a health insurance proposal, the insurer may also refer the prospective customer e.g. above 45 years of age to a doctor and/ or for medical check-up. Based on the information available in the proposal and, where medical check-up has been advised, based on the medical report and the recommendation of the doctor, the insurer takes the decision. Sometimes, where the medical history is not satisfactory, an additional questionnaire to get more information is also required to be obtained from the prospective client. The insurer then decides about the rate to be applied to the risk factor and calculates the premium based on various factors, which is then conveyed to the insured.

C. Prospectus

A Prospectus is a document issued by the insurer or on its behalf to the prospective buyers of insurance. It is usually in the form of a brochure or leaflet or it can be in electronic form also and serves the purpose of introducing a product to such prospective buyers. Issue of prospectus is governed by the Insurance Act, 1938 as well as by Protection of Policyholders' Interest Regulations 2017 and the Health Insurance Regulations 2016 of the IRDAI. Insurers of Health policies usually publish Prospectuses about their Health insurance products. The proposal form in such cases would contain a declaration that the customer has read the Prospectus and agrees to it.

As discussed in Chapter 4, Section 64 VB of the Insurance Act 1938 stipulates that Premiums have to be collected in advance. However, considering the need for easing the payment of health insurance premiums in view of conditions owing to COVID-19 outbreak, IRDAI allowed insurers to collect premiums of individual health insurance products in instalments. It was also mandated that Insurance companies would announce the availability of the facility of payment of premiums in instalments, and the conditions thereof, on their websites. This facility would be offered to all policyholders without any discrimination.

D. Policy Document

IRDAI Regulations for protecting policy holder's interest act 2017 specified that a Health Insurance Policy document should contain:

a) The name(s) and address(es) of the insured and any other person having insurable interest in the subject matter
b) Full description of the persons or interest insured
c) The sum insured under the policy person and/ or peril wise
d) UIN of the product, name, code number, contact details of the person involved in sales process;
e) Date of birth of the insured and corresponding age in completed years;
f) The period of insurance and the date from which the policyholder has been continuously obtaining health insurance cover in India from any of the insurers without break
g) The sub-limits, Proportionate Deductions and the existence of Package rates if any, with cross reference to the concerned policy section;
h) Co-pay limits if any;
i) The pre-existing disease (PED) waiting period, if applicable;
j) Specific waiting periods as applicable;
k) Deductible as applicable – general and specific, if any Perils covered and exclusions
l) Premium payable and where the premium is provisional subject to adjustment, the basis of adjustment of premium along with periodicity of instalments if any
m) Policy terms, conditions and warranties
n) Action to be taken by the insured upon occurrence of a contingency likely to give rise to a claim under the policy

o) The obligations of the insured in relation to the subject-matter of insurance upon occurrence of an event giving rise to a claim and the rights of the insurer in the circumstances
p) Any special conditions
q) Provision for cancellation of the policy on grounds of misrepresentation, fraud, non-disclosure of material facts or non-cooperation of the insured
r) The details of the Add-on covers, if any
s) Details of Grievance Redressal mechanism and address of Ombudsman
t) Details of Grievance Redressal mechanism of Insurer;
u) Free-look period facility and portability conditions;
v) Policy migration facility and conditions where applicable.

E. Conditions and Warranties

Here, it is important to explain two important terms used in policy wordings. These are called Conditions and Warranties.

1. **Conditions:** A condition is a provision in an insurance contract which forms the basis of the agreement.

EXAMPLES:

a. One of the standard conditions in most insurance policies states:

If the claim be in any respect fraudulent, or if any false declaration be made or used in support thereof or if any fraudulent means or devices are used by the Insured or any one acting on his behalf to obtain any benefit under the policy or if the loss or damage be occasioned by the wilful act, or with the connivance of the Insured, all benefits under this policy shall be forfeited.

b. The Claim Intimation condition in a Health policy may state:

Claim must be filed within certain days from date of discharge from the Hospital. However, waiver of this Condition may be considered in extreme cases of hardship.

A breach of condition makes the policy voidable at the option of the insurer.

2. **Warranties:** A warranty is an agreement between insurer and insured that must be carried out fully. It forms a part of the policy document. For example, the Insurer may be covering the risk of a particular disease on the condition that the insured shall do a quarterly consultations with a specialist. In the above example, failure of the insured to fulfil his part of the agreement shall either negate or reduce the liability in respect of that particular section/ warranty.

Warranties must be observed and complied with strictly and literally, whether it is material to the risk or not.

Test Yourself 1

Which of the below statement is correct with regards to a warranty?

I. A warranty is a condition which is implied without being stated in the policy
II. A warranty forms part of a policy document

III. A warranty is always communicated to the insured separately and cannot be part of the policy document
IV. Claims will be payable even if a warranty is breached.

Endorsements in Health Insurance

It is the practice of insurers to issue policies in a standard form; covering certain perils and excluding certain others.

Definition

If certain terms and conditions of the policy need to be changed at the time of issuance, it is done by setting out the amendments/ changes through a document called endorsement.

It is attached to the policy and forms part of it. The policy and the endorsement together make up the contract. Endorsements may also be issued during the currency of the policy to record changes/ amendments.

Whenever material information changes, the insured has to advice the insurance company who will take note of this and incorporate the same as part of the insurance contract through the endorsement.

Endorsements normally required under a policy relate to:

a) Variations/ changes in sum insured
b) Addition and deletion of insured family members
c) Change of insurable interest by way of taking of a loan and mortgaging the policy to a bank.
d) Extension of insurance to cover additional perils/ extension of policy period
e) Change in risk, e.g. change of destinations in the case of an overseas travel policy
f) Cancellation of insurance
g) Change in name or address etc.

Test Yourself 2

If certain terms and conditions of the policy need to be modified at the time of issuance, it is done by setting out the amendments through _____.

I. Warranty
II. Endorsement
III. Alteration
IV. Modifications are not possible

Answers to Test Yourself

Answer 1 -The correct option is II.

Answer 2 - The correct option is II.